Who should get extra help with health insurance? Age versus need

> The government has reintroduced, unchanged, a bill to scrap the extra private health insurance rebate paid to over-65s. New analysis argues that a pensioner exemption, sought by the Greens, would mostly protect comfortable part-pensioners while missing struggling younger families.

WHAT HAPPENED

- The rebate for the lowest income group is about **24%**, rising to **28%** for people aged 65–69 and **32%** for those 70 and over. The bill would give everyone on the same income the same rebate, and the savings would go to aged care.
- The first bill was defeated after the Greens sought an exemption for about **1.2 million** age pensioners.
- Analysis of HILDA 2022 data (not yet peer reviewed) finds a carve-out would help about 560,000 full-rate and **540,000 part-rate pensioners**. One in seven part-pensioners has more than $2 million in wealth, including the home.
- Full-rate pensioners are genuinely stretched. Their median super is about $10,000, nearly half have none, and premiums take **6.3% of disposable income**, nearly double the share for non-pensioners. Uninsured pensioners are worse off still and would gain nothing.
- **Income alone misleads.** Insured over-65s earning under $37,000 have median wealth of $1.18 million. On a similar income, 25–44-year-olds spend almost **three times** as much of it on housing, childcare and insurance, and are nearly four times as likely to report hardship.

Key terms: vertical equity · intergenerational equity · means testing · income vs wealth · community rating

BY THE NUMBERS

32%
Rebate for 70+ vs ~24% for under-65s (lowest income tier)

6.3%
Share of income full pensioners spend on premiums

$1.18m
Median wealth, insured 65+ earning under $37k

~3×
Housing, childcare and insurance burden: 25–44s vs older people

WINNERS AND LOSERS — Who a blanket pensioner exemption would and wouldn't help

Would be protected

- **Full-rate pensioners with cover**: genuinely strained, with little super.
- **Part-rate pensioners**: about half the group, and often wealthy (1 in 7 hold over $2m).

Would miss out

- **Uninsured pensioners**: the worst off; 40% of uninsured full-rate pensioners say they are just getting by or poor.
- **Low-income younger families**, who face mortgages and childcare costs. They already subsidise older members through community rating.

Exam angle: use this to show the difference between **income and wealth inequality**, and between targeting help by **age** and by **need** (means testing). The authors favour concessions for low-income people of any age.

SYLLABUS LINK

Topic 3 – Distribution of income and wealth: measures, sources of inequality and equity. Links to Topic 4 – fiscal policy (targeting government spending and transfers).

TRY THIS

Explain why income alone may be a misleading measure of economic wellbeing, using evidence about older and younger Australians. **(4 marks)**

'Exempting pensioners from private health rebate changes won't make it fairer. Here's what would', The Conversation, 29 Oct 2026 – https://theconversation.com/exempting-pensioners-from-private-health-rebate-changes-wont-make-it-fairerheres-what-would-294945